

Review Class

Classical X, Arnold X, Schools X

① Solow - 2

② RCK - 1

③ Diamond - 1

④ Rand D - 1

⑤ Romer - 1

⑥ RBC - 1

⑦ NK - 1

Solution

Solow

1.3, 1.7 → exercise
~~1.8~~

Assumption

Dynamics of $K \Rightarrow$ 1.3

BGP

1.4 Impacts of changing Savings rate
Impacts on Consumption.

Golden rule: of capital

[1.5] Effect of output in the LR
Speed of Convergence

↳ Solow vs RCK → difference
in equation

Empirical application

Growth accounting - convergence

↳ Economists (no) analysis

[RCK]

Tutorial question for all models

Assumptions

↳ HH behavior, problem

HH B/C, HH maximization

HH behavior

Dynamics of c, k

Phase diagram → [must]

Initial value of c + Saddle path

Welfare

The effect of fall in discount rate

[2.6] → Fig: 2.6, qualitative effects

No derivation ← [Speed of adjustment >>
Rate of adjustment

Effects of govt purchase:

permanent + Temporary

Practical exercise Solution:

Diamond model

Assumption $\rightarrow$ Dis RCK vs Diamond

Household behavior

2.2 2.9 Eq. 2.55, 2.56 $\rightarrow$ explanation
savings fn
and consumption fn

2.10 Evaluation of k

Equation of motion of k

logarithmic ~~Cobb~~ utility and Cobb Douglas
Production fn

k_t is a function of k_{t-1}

Eq. 2.60 $\rightarrow$ derivation

Speed of convergence is Dominant

Sobow vs RCK vs Diamond

Equation must

[2.12] Groot in Diamond model

Groot in Diamond $\gg$ Groot in RCK

Est. Diamond for long-run growth

Why? Why? How the model
has been explained for Diamond

Why? Why? How the model
has been explained for Diamond

Why? Why? How the model
has been explained for Diamond

Why? Why? How the model
has been explained for Diamond

Rand D

[3.1] Framework, Assumption
Specific a_L, a_K must

Solow Vs Rand D $\rightarrow$ at last of

[3.1] $\rightarrow$ Critically analysis.

[3.2] without capital.
 a_L impact of case 1, 2, 3

~~or~~

[3.3] $\rightarrow$ for math perspective.

Dynamics of knowledge and capital

g_A, g_K .

$B + \theta < 1$, $B + \theta = 1$ and $n = 0$.

Semi endogenous growth and fully

endogenous growth নামের দুই
ব্রহ্মা ১ কখন কোরে আছে.

Tutorial exercise

Romer model

Learning by Doing:-

Overview:-

↳ Efficient production f^n
and returns to knowledge creation 1-p

Determination of L , $L = \frac{P_i}{P_c} \left(\frac{\lambda}{P_c} \right)^{1-p}$

profit.

Rest of the models:-

↳ Assumptions.

Solving model:-

Profit $\rightarrow$ Two methods

↳ Using PV

Implications:-

Difference betⁿ optimal and
equilibrium $L_A \rightarrow$ 2nd implication

$$m = 1$$

RBC model

Sheet / Book $\rightarrow$ Both accepted

14.2 Basic RBC model:-

14.1 $\rightarrow$ Importance of labor supply / SR LS

Relation ship: Leisure, wage, interest rate.

LR labor supply

Basic mechanics $\rightarrow$ Elasticity

Hansen labor supply:-

Briefly explain:-

Start from limitations of RBC.

Calibration $\rightarrow$ 14.2.1

2/3



NK DSGE

(1/4) IS-LM, Phillips Curve,

[15.1] Keynesian IS-LM $\Rightarrow$ classical version of IS-LM } less important

[15.2] Lucas Island ~~most~~ model.

↓
perfect info imperfect info

[15.4] ~~***~~

Blanchard $\rightarrow$ ~~Divide~~ Divine coincidence